UNIT VII TRADE

CHAPTER 23 CHANNELS OF DISTRIBUTION

DHPSY7

திருக்குறள்

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Couplet:

Who plenteous store of glorious wealth have gained, By them the other two are easily obtained

Learning Objectives

To enable the students to

i. state the meaning and types of channel of distribution
ii. explain the meaning of different types of middlemen
iii. understand the characteristics and services of whole
iv. explain the characteristics and services of retailers

Introduction

The manufacturers producing goods on large scale select the channel through which their goods should reach the consumers. These good are converted into cash only when the end user buy and use them. To cut the cost, to reach maximum customers and to retain all customers the producers select one channel or combine many channels to distribute the goods. This chapter explains the channels of distribution in detail.

23.01 Channels of Distribution - Meaning

A channel is the route through which the goods are passed on to the ultimate consumer. There are direct channels or routes of distribution without middlemen. Indirect channel consists of one or more middlemen performing different functions. Middlemen help in the flow of goods towards the lakhs or crores of consumers. The products should reach all these consumers living inside the country and throughout the world. There are industrial and consumer goods, perishable and durable goods, pin to plane - different size of goods and so on. Not only the goods but also the services need distribution network.

Definition

According to *Cundiff E.W* and *Still*, a channel of distribution may be defined as "a path traced in the direct or indirect transfer of title to a product as it moves from the producer to ultimate consumers".

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